ANNEXURE III

November 10, 2025

Securities and Exchange Board of India
Corporation Finance Department
Division of Issues and Listing
SEBI Bhavan, Plot No. C4 A, 'G' Block
Bandra Kurla Complex
Bandra (East)
Mumbai 400 051
Maharashtra, India

Dear Madam/Sir,

Re: PROPOSED INITIAL PUBLIC OFFERING OF EQUITY SHARES OF FACE VALUE OF ₹ 10 EACH (THE "EQUITY SHARES") OF SEDEMAC MECHATRONICS LIMITED (THE "COMPANY", AND SUCH INITIAL PUBLIC OFFERING, THE "OFFER")

We, ICICI Securities Limited, Avendus Capital Private Limited and Axis Capital Limited (the "**BRLMs**"), who have been appointed by the Company as book running lead managers to manage the Offer, confirm that:

(1) We have examined various documents including those relating to litigation, including commercial disputes, patent disputes, disputes with collaborators, etc. and other material while finalizing the draft red herring prospectus dated November 10, 2025 ("**DRHP**") pertaining to the Offer. – **Complied with to the extent applicable**

(2) On the basis of such examination and the discussions with the Company, its Directors and other officers, other agencies and independent verification of the statements concerning the objects of the Offer, price justification, contents of the documents and other papers furnished by the Company and the Selling Shareholders, we confirm that:

(a) the DRHP filed with the Securities and Exchange Board of India ("**SEBI**") is in conformity with the documents, materials and papers which are material to the Offer;

(b) all material legal requirements relating to the Offer as specified by the SEBI, the Central Government and any other competent authority in this behalf have been duly complied with; and

(c) the material disclosures made in the DRHP are true and adequate to enable the investors to make a well informed decision as to the investment in the proposed Offer and such disclosures are in accordance with the requirements of the Companies Act, 2013, as amended, the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended (the "**SEBI ICDR Regulations**") and other applicable legal requirements. – **Complied with to the extent applicable and noted for compliance**

(3) Besides ourselves, all intermediaries named in the DRHP are registered with the SEBI and that till date, such registration is valid. – **Complied with and noted for compliance.**

(4) We have satisfied ourselves about the capability of the underwriters to fulfil their underwriting commitments. – **Noted for compliance**

(5) Written consent from the Promoters has been obtained for inclusion of their specified securities as part of promoter's contribution subject to lock-in and the specified securities proposed to form part of promoters' contribution subject to lock-in, shall not be disposed or sold or transferred by the Promoters during the period starting from the date of filing the DRHP with the SEBI until the date of commencement of lock-in period as stated in the DRHP. – **Complied with and noted for compliance.**

(6) All applicable provisions of the SEBI ICDR Regulations, which relate to specified securities ineligible for computation of promoters' contribution, have been and shall be duly complied with and appropriate disclosures as to compliance with the said regulation(s) have been made in the DRHP. – **Complied with and noted for compliance**

(7) All applicable provisions of the SEBI ICDR Regulations which relate to receipt of promoters' contribution prior to opening of the Offer, shall be complied with. Arrangements have been made to ensure that the promoters' contribution shall be received at least one day before the opening of the Offer and that the statutory auditors' certificate to this effect shall be duly submitted to SEBI. We further confirm that arrangements have been made to ensure that the promoters' contribution shall be kept in an escrow account with a scheduled commercial bank and shall be released to the Company along with the proceeds of the Offer. **– Not Applicable**

(8) Necessary arrangements shall be made to ensure that the monies received pursuant to the Offer are credited or transferred to in a separate bank account as per the provisions of sub-section (3) of section 40 of the Companies Act, 2013 and that such monies shall be released by the said bank only after permission is obtained from all the Stock Exchanges, and that the agreement entered into between the bankers to the Offer, the Selling Shareholders, and the Company specifically contains this condition. **– Noted for compliance**

(9) The existing business as well as any new business of the Company for which the funds are being raised fall within the 'main objects' in the object clause of the Memorandum of Association or other charter of the Company and that the activities which have been carried in the last ten years are valid in terms of the object clause of the Memorandum of Association. **– Complied with to the extent applicable**

(10) Following disclosures have been made in the DRHP:

(a) An undertaking from the Company that at any given time, there shall be only one denomination for the Equity Shares of the Company, excluding SR equity shares, where the Company has outstanding SR equity shares. - **Complied with to the extent applicable and noted for compliance. There are no SR equity shares issued by the Company**

(b) An undertaking from the Company that it shall comply with all disclosure and accounting norms specified by the SEBI. - **Complied with to the extent applicable and noted for compliance**

(11) We shall comply with the regulations pertaining to advertisements in terms of the SEBI ICDR Regulations. **– Noted for compliance**

(12) If applicable, the entity is eligible to list on the innovators growth platform in terms of the provisions of Chapter X of the SEBI ICDR Regulations. **– Not Applicable**

We enclose in **Annexure III A**, a note explaining the process of due diligence that has been exercised by us including in relation to the business of the Company, the risks in relation to the business, experience of the Promoters and that the related party transactions entered into for the period disclosed in the DRHP have been entered into by the Company in accordance with applicable laws.

ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

We have also enclosed in **Annexure III B**, a checklist confirming regulation-wise compliance with the applicable provisions of the SEBI ICDR Regulations, containing details such as the regulation number, its text, the status of compliance, page number of the DRHP where the regulation has been complied with and our comments, if any.

All capitalized terms used herein and not specifically defined shall have the same meaning as ascribed to such terms in the DRHP.

Encl.: Annexures as above

Sincerely,

ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

This signature page forms an integral part of the letter to Securities and Exchange Board of India, in relation to the initial public offering of Sedemac Mechatronics Limited.

For ICICI Securities Limited

Authorized Signatory
Name: Sumit Singh
Designation: VP
Contact Number: +91 8789419402
Email: sumitkumar.singh@icicisecurities.com

ICICI Securities	Avendus	AXIS CAPITAL
ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

This signature page forms an integral part of the letter to Securities and Exchange Board of India, in relation to the initial public offering of Sedemac Mechatronics Limited.

For Avendus Capital Private Limited

Authorized Signatory

Name: Sarthak Sawa
Designation: Vice President
Contact number: +91 99303 33486
Email: sarthak.sawa@avendus.com

ICICI Securities	Avendus	AXIS CAPITAL
ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

This signature page forms an integral part of the letter to Securities and Exchange Board of India, in relation to the initial public offering of Sedemac Mechatronics Limited.

For Axis Capital Limited

Authorized Signatory
Name: Pratik Pednekar
Designation: AVP
Contact Number: + 91 98192 63346
Email: pratik.pednekar@axiscap.in

ANNEXURE III A

Due Diligence Process Note

In connection with the draft red herring prospectus of the Company dated November 10, 2025 (the "**DRHP**"), we, the BRLMs, have carried out due diligence exercise in relation to the current business of the Company, for the purposes of complying with the applicable provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended ("**SEBI ICDR Regulations**"), and other applicable laws, and to the extent that it is customary in initial public offerings in India, along with other professionals and experts engaged in connection with the Offer.

All capitalized terms used herein and not specifically defined shall have the same meaning ascribed to such terms in the DRHP.

For the purposes of the Offer, Cyril Amarchand Mangaldas was appointed as legal counsel to the Company as to Indian Law, Cyril Amarchand Mangaldas was also appointed as legal counsel to the Promoter Selling Shareholders and Promoter Group Selling Shareholder, Trilegal was appointed as the legal counsel to the BRLMs as to Indian Law, LinkLaters Singapore Pte. Ltd. was appointed as the international legal counsel to the BRLMs and JSA Advocates & Solicitors was appointed as the legal counsel to the Investor Selling Shareholders and Other Selling Shareholders (the collectively, "**Legal Counsel**"). The Legal Counsel assisted the BRLMs in carrying out documentary legal due diligence, drafting of the DRHP in compliance with the SEBI ICDR Regulations and advised the Company and the BRLMs on relevant legal matters related to the Offer, as appropriate.

The due diligence process carried out by us and the Legal Counsel commenced with virtual kick-off and virtual interactions with the Promoters, Key Managerial Personnel and Senior Management of the Company, including the Chief Financial Officer, the Company Secretary and Compliance Officer, to gain an understanding of the business of the Company, key risks involved,and financial overview of the Company, among other matters and the background of the Company's management, including its Promoters. The due diligence process involved, among other things, attending virtual and physical meetings with the Company and the Legal Counsel as well as visits to the Company's Registered and Corporate Office, Technical Centre 1 in Baner, Pune, India, Technical Centre 2 in Baner, Pune, India, Manufacturing Facility 1 in Chakan, Pune, India and Manufacturing Facility 2 in Sinhagad Road, Pune, India. These interactions were conducted with the objective of assisting the Company in preparing necessary disclosures as required under the SEBI ICDR Regulations and other applicable laws in relation to the Offer. In this regard, the Company was provided with a due diligence questionnaire and information requisition list prepared in consultation with the Legal Counsel. The Company provided us the supporting documents in relation to the questionnaire for our review and diligence and provided us with explanations with respect to our queries. In order to facilitate such review, the Company set-up an online data room where copies of relevant documents were made available for undertaking due diligence.

The BRLMs were also assisted by the statutory auditor of the Company, B S R & Co. LLP, Chartered Accountants (the "**Statutory Auditors**") in the financial due diligence process of the Company.

In addition to the restated financial statements and examination report thereon for three months ended June 30, 2025, Fiscal 2025, Fiscal 2024, and Fiscal 2023, (the "**Restated Financial Information**"), the Statutory Auditors have provided the statement of direct and indirect special tax benefits available to the Company, and its shareholders, and the comfort letter. The Statutory Auditors have also verified details and provided certifications relating to *inter alia* compliance with corporate governance requirements and verified and reviewed certain matters including the computation of Company's net worth, profit/loss and eligibility of the Company to undertake the Offer. The Statutory Auditors have confirmed that they hold a valid peer review certificate issued by the peer review board of the Institute of Chartered Accountants of India, and have consented to be named as an 'expert', in terms of the Companies Act, 2013, as amended, in the DRHP and such consent has not been withdrawn as at the date of filing of the DRHP with the SEBI.

The independent chartered accountant, S K Patodia & Associates LLP, Chartered Accountants (FRN: 112723W/W 100962), ("**Independent Chartered Accountant**") has provided various other certifications with respect to certain other financial information included in the DRHP including, compliance with corporate governance requirements under the SEBI LODR Regulations, weighted average price and cost of acquisition of specified securities and the average cost of acquisition of specified securities held by Promoters and Selling Shareholders of the Company, weighted average cost of acquisition of all shares transacted in last three years, eighteen months and one year, details of price at which specified securities were acquired by each of the Promoters, members of the Promoter Group, Selling Shareholders in the last three years immediately preceding the date of the DRHP, details of the employee stock options schemes, borrowings of the Company, outstanding dues to creditors and other small scale undertakings, certain key performance indicators included in the "*Basis for Offer Price*" section on page 140 of the DRHP, and other operational indicators of the Company. The Independent Chartered Accountant has consented to be named as an 'expert', in terms of the Companies Act, 2013, as amended, in the DRHP and such consent has not been withdrawn as at the date of filing of the DRHP with the SEBI.

We have obtained and placed reliance on the certifications provided by the independent chartered engineer, namely Uday Dattatraya Sathe (registration number: M-118425-8) ("**Chartered Engineer**") to carry out independent examination, verification, certification and confirm certain details in the DRHP in relation to their certificate dated November 10, 2025 including installed capacity and capacity utilization of the manufacturing facilities and certain other information included under "*Our Business*" beginning on page 244. The Chartered Engineer has consented to be named as an 'expert', in terms of the Companies Act, 2013, as amended, in the DRHP and such consent has not been withdrawn as at the date of filing of the DRHP with the SEBI.

We have also obtained a certificate from M/s Nilesh Shah & Associates, Company Secretaries, practicing company secretary ("**PCS**"), to certify compliance with Companies Act, 2013 and Companies Act, 1956, as applicable, by the Company, in relation to issuances and allotments of securities since its incorporation, compliance of the employee stock option schemes of the Company with the requirements under Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021, as amended, SEBI ICDR Regulations, to the extent applicable and relevant guidance notes issued by the Institute of Company Secretaries of India, compliance requirements of Structured Digital Database, compliance of the independent directors of the Company with the independence criteria specified under the Companies Act, 2013, and the rules thereunder, as amended and the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, compliance of Part A of the articles of Association of the Company with the requirements under Companies Act, 2013, as amended. We have also obtained a certificate from the PCS to carry out an online inspection of the registrar of companies, Pune at Maharashtra ("**RoC**") as the Company is unable to trace certain corporate and statutory records for certain statutory filings made by the Company in accordance with Companies Act, 1956, and Companies Act, 2013. The PCS has consented to be named as an 'expert', in terms of the Companies Act, 2013, as amended, in the DRHP and such consent has not been withdrawn as at the date of filing of the DRHP with the SEBI

The Company has placed reliance on the report titled *"Industry assessment for control technologies used in automotive, generator and power tools industry"* ("**CRISIL Report**") dated November 2025, prepared and issued by CRISIL Intelligence ("**CRISIL**"), appointed by the Company pursuant to an engagement letter dated April 22, 2025, which has been exclusively commissioned and paid for by the Company, for disclosures in relation to industry information in the DRHP. Further, the Company has received a written consent dated November 10, 2025 to include their name, their report and its contents or any extract or references thereof in the DRHP, Red Herring Prospectus and Prospectus. The CRISIL Report has been commissioned and paid for by the Company and has been prepared exclusively for the purposes of disclosures in the "*Industry Overview"* section on page 156 of the DRHP, for the Offer.

1. Business and commercial diligence

The due diligence process in relation to general business and commercial matters included:

(a) Organizing and attending discussions, transaction related calls and virtual/ in-person meetings with the management of the Company to develop an understanding of the business, history and other matters of the Company, including the industry overview and the regulatory environment. The discussions were attended by the Promoters and management of the Company including members of the secretarial, legal and finance departments along with representatives of the Legal Counsel, representatives of the BRLMs, the Statutory Auditors, and the Chartered Engineer, as necessary. A broad overview of the business of the Company, industry in which it operates, regulatory framework with respect to the business, the corporate structure, the capital structure, and financial statements and shareholding pattern of the Company and details of the Promoters of the Company was presented to the BRLMs and the Legal Counsel followed by interactive discussions;

(b) Regularly interacting with the management team of the Company, including the Chief Financial Officer, Company Secretary and Compliance Officer, Key Managerial Personnel and Senior Management, and other senior personnel from the Company's operations department and the Statutory Auditors for the purpose of gaining an understanding of the business, the risks involved and a financial overview of the Company, among other matters. These interactions included (i) drafting sessions and conference calls to discuss the disclosures in the DRHP with the management; (ii) due diligence call with the Statutory Auditors; (iii) due diligence call with the management to receive information from the Company before filing the DRHP; (iv) seeking appropriate clarifications and certifications from the Company and Statutory Auditors for key financial, operational data and other information; (v) obtaining and relying on certificates, formal representations and undertakings from the Company, its Directors, Key Managerial Personnel, Senior Management, Promoters, Promoter Group, among others, for certain other information; (vi) due diligence calls with CRISIL; (vii) due diligence calls with customers and suppliers from the diesel generator business and wind power business of the Company. These interactions were conducted with an objective to assist the Company to prepare disclosures as required under the SEBI ICDR Regulations, the Companies Act, and other applicable laws with regard to the Offer. Further, we also interacted with the respective representatives of the Selling Shareholders, received certificates from them to prepare disclosures in the DRHP in relation to the Selling Shareholders and their respective Offered Shares. We expect these interactions and due diligence calls to continue until the closure of the Offer;

(c) Requesting the Company to make available the due diligence documents in virtual data room, or via e-mails, and reviewing those documents along with the Legal Counsel, based on the requirements under the SEBI ICDR Regulations and as is customary in such transactions;

(d) Interacting with the Key Managerial Personnel and the Senior Management Personnel of the Company to understand, among others, the Company's day to day operations, key business processes and to verify the disclosures being made in the DRHP.

(e) Obtaining and relying on certificates, formal representations and undertakings from the Company, the Selling Shareholders, the Promoters, the Promoter Group, the Directors, the Key Managerial Personnel and Senior Management of the Company, the Statutory Auditor, the Chartered Engineer, Practicing Company Secretary and other documents in support of certain disclosures made in the DRHP, including certain operational data included in the business section and for compliance with the SEBI ICDR Regulations;

(f) Reviewing, together with the Legal Counsel, certain material business-related documents pertaining to the Company including (i) invoices entered into/raised with the top 10 customers; (ii) invoices/ purchase orders entered into/raised with the top 10 suppliers. Further, certain property-related documents pertaining to the Company have also been reviewed.

(g) Reviewing the audit committee resolution dated November 10, 2025, pursuant to which the audit committee (a) noted the key performance indicators ("**KPIs**") pertaining to the Company disclosed to investors at any point of time during the three years' period prior to the date of filing of DRHP, (b) identified the KPIs disclosed in the "*Basis for Offer Price*" section of the DRHP, (c) took on record the certificate from the Independent Chartered Accountants for the KPIs; and (d) took on record the management certificate on the KPIs.

(h) Obtaining and relying on formal representations and undertakings from the Company and the Selling Shareholders in the Offer Agreement;

(i) A site visit to the Registered and Corporate Office of the Company, Survey No. 270/1/A/2, Pallod Farms, Baner Road, Baner, Pune 411 045 Maharashtra, India, Technical Centre 1 in Baner, Pune, India, Technical Centre 2 in Baner, Pune, India, Manufacturing Facility 1 in Chakan, Pune, India and Manufacturing Facility 2 in Sinhagad Road, Pune, India was conducted for our due diligence;

(j) Obtaining circle-ups and certificates from the Statutory Auditors and the Independent Chartered Accountant, on certain financial information, operational data, key performance indicators and/ or other information included in the DRHP, including details of the amounts outstanding to small scale undertakings and other creditors of the Company, non-payment of statutory dues by the Company, compliance with corporate governance requirements by the Company, among others, as applicable;

(k) Obtaining and relying on:

i. comfort letters on tick-and-tie confirmations from the Statutory Auditors on the Restated Financial Information as well as the other financial information included in the DRHP, in each case, as of and for the periods specified therein; and

ii. certificates, formal representations and undertakings from the Company, the Promoters including on behalf of certain members of the Promoter Group, the Directors, the Key Managerial Personnel and Senior Management Personnel of the Company, the Statutory Auditors, the Independent Chartered Accountant, Chartered Engineer and other documents in support of certain disclosures made in the DRHP, for compliance with the SEBI ICDR Regulations.

(l) Interacting with CRISIL, the industry report provider for the report titled "*Industry assessment for control technologies used in automotive, generator and power tools industry*" dated November 2025 prepared and issued by CRISIL; and

(m) Reviewing such other documents as we have deemed necessary and as have been provided to us by the Company, from time to time.

2. Industry information

We have relied on industry and market data derived from the report titled "*Industry assessment for control technologies used in automotive, generator and power tools industry*" dated November, 2025 prepared and issued by Frost & Sullivan ("**CRISIL Report**"), which has been commissioned by the Company exclusively in connection with the Offer. CRISIL was appointed pursuant to engagement letter entered into with the Company dated April 22, 2025. Further, CRISIL, pursuant to their consent letter dated November 10, 2025, ("**Letter**") have accorded their no objection and consent to use the CRISIL Report in connection with the Offer. CRISIL pursuant to their Letter have also confirmed that they are an independent agency, and that they are not related to the Company, its Directors, Promoters, Key Managerial Personnel or Senior Management and BRLMs. The industry related information contained in certain sections of the DRHP, including "*Summary of the Offer*

Document", "*Risk Factors*", "*Industry Overview*, "*Our Business*" and "*Management's Discussion and Analysis of Financial Condition and Results of Operations*", have been included from the CRISIL Report. The CRISIL Report is available on the website of the Company at https://new-dev.sedemac.com/investors/home and forms part of the material documents for inspection as listed in the section "*Material Contracts and Documents for Inspection*" of the DRHP.

3. Financial information and financial indebtedness

Due diligence was conducted on financial matters, which included due diligence calls with the Statutory Auditors, discussions with the finance department of the Company, and review of the auditors' examination report and other related documents. The Statutory Auditors of the Company have examined the Restated Financial Information of the Company which were prepared in accordance with the Companies (Indian Accounting Standards) Rules, 2015 ("**Ind AS**") and the requirements of the SEBI ICDR Regulations and Companies Act, 2013 as at and for the three months ended June 30, 2025, and the Fiscals ended March 31, 2025, March 31, 2024, and March 31, 2023. Further, the Statutory Auditor was required to review the financial information relating to the Company in the DRHP and has delivered a customary comfort letter to BRLMs.

In accordance with the SEBI ICDR Regulations, the Company has uploaded the audited standalone financial statements for the Fiscals ended March 31, 2025, March 31, 2024, and March 31, 2023, (i.e., the three financial years immediately preceding the date of filing of the DRHP) of the Company on its website.

We have relied on the report(s) on statements of direct and indirect special tax benefits available to the Company, and its shareholders in accordance with the SEBI ICDR Regulations and the SEBI Listing Regulations.

In relation to the information disclosed in summarized form in the section "*Financial Indebtedness*" on page 304 of the DRHP, the relevant sanction letters and agreements issued by the lenders as well as other financing related documents were made available. On the basis of our review, relevant intimations were made to and consent was obtained from the relevant lenders in connection with the corporate actions related to the Offer, as required under the loan documentation and arrangements with such lenders. The details of the outstanding borrowings availed by the Company including certain key terms of such borrowings are disclosed in the section titled "*Financial Indebtedness*" on page 392 of the DRHP. We have also relied on a certificate from the Independent Chartered Accountant to ascertain the amount of outstanding borrowings of the Company as of September 30, 2025 as disclosed in the section titled "*Financial Indebtedness*" on page 304 of the DRHP.

The Company has also received consents from relevant lenders, granting consent to undertake the Offer and related corporate actions such as issue and allotment of the Equity Shares and change in the capital structure of the Company, among others.

4. Promoters, Promoter Group, Selling Shareholders, Directors, Key Managerial Personnel and Senior Management of the Company

For the purposes of making certain disclosures with respect to the Promoters, the Promoter Group, the Selling Shareholders, the Directors, Key Managerial Personnel and Senior Management of the Company in the DRHP, we have obtained certifications from such relevant entities/persons. We also interacted with the relevant parties, along with the Legal Counsel, to assist them to understand the requirements of law and disclosures required in terms of SEBI ICDR Regulations.

For the purposes of disclosure of the educational qualifications and professional experience of Directors, Key Managerial Personnel and Senior Management of the Company in the DRHP, reliance was placed on degree certificates, HR certificates, employment contracts, and appointment or relieving letters issued by previous and current employers and other back-up documents.

The Company, the Promoters, members of the Promoter Group, the Directors, and Selling Shareholders have provided confirmations stating that they have not been debarred or prohibited from accessing the capital markets or from buying, selling or dealing in securities under any order or direction passed by the SEBI or any securities market regulator in any other jurisdiction or any other authority/ court. In addition, confirmations have been received from the Company, Promoters and Directors stating that they have not been categorized as wilful defaulters or 'fraudulent borrower' as per the definition in SEBI ICDR Regulations. We have also received confirmations from the Company, Promoters and the Directors that none of the Directors or Promoters of the Company are 'fugitive economic offenders' as defined under the section 12 of the Fugitive Economic Offenders Act, 2018.

Further, confirmations have been taken from Directors that (a) they are not currently or were previously directors on the board of other listed companies whose shares have been / were suspended from being traded on the BSE Limited and/or the National Stock Exchange of India Limited during the period of five years before the date of the DRHP; (b) that they are not currently or were previously directors on the board, as applicable of a listed company whose shares have been or were delisted from being traded on any stock exchange while they were directors of such companies.

We also received confirmations from the Company, Promoters, members of the Promoter Group and Selling Shareholders in respect of their compliance with the Companies (Significant Beneficial Owners) Rules, 2018, as on date of the DRHP, to the extent applicable in relation to the Company.

In relation to the Selling Shareholders, the Company has received consent letters, along with the relevant information and documents which include, authorization from each Selling Shareholder to participate in the Offer and various confirmations, covenants, representations and warranties, as required from each Selling Shareholder.

The term 'group companies' of the Company shall include (a) the companies with which there were related party transactions during the period for which Restated Financial Information have been disclosed in this DRHP, as covered under the applicable accounting standards (i.e., Ind AS 24); and (b) any other companies which are considered material by the Board.

In relation to (b) above, the Company proposes to consider such companies (other than companies categorized in (a) above) that (i) are a part of the Promoter Group in terms of Regulation 2(1)(pp) of the SEBI ICDR Regulations, and (ii) with which there were transactions in the last completed Financial Year and the most recent stub period (if applicable) included in the Restated Financial Information, which individually or cumulatively in value, exceed 10% of the revenue from operations of the Company for the last completed financial year, as 'group companies'.

Accordingly, based on the parameters set out above, the Company does not have any group company as on the date of the DRHP. The Board of Directors has, through a resolution passed at its meeting held on November 3, 2025 adopted a materiality policy for identification of group companies.

The Company does not have any subsidiaries or joint ventures, as on the date of the DRHP.

5. Outstanding litigation and dues to creditors

We have disclosed outstanding litigation involving the Company, the Directors, the Promoters, as required under the SEBI ICDR Regulations and in accordance with the policy on determination of material litigation approved by the Board of Directors in its meeting held on November 3, 2025 ("**Materiality Policy**"). The materiality

threshold in relation to litigation proceedings as approved by the Board of Directors has been disclosed in the DRHP.

The DRHP includes outstanding (i) criminal proceedings (including FIRs, whether cognizance has been taken or not by any court or judicial authority); (ii) actions (including show cause notices) by regulatory or statutory authorities; (iii) litigation involving claims related to direct and indirect taxes (disclosed in a consolidated manner giving the total number of claims and the total amount involved, provided that any tax matter wherein the amount involved exceed the Materiality Threshold proposed below shall be disclosed on an individual basis); and (iv) other pending litigation as determined to be material as per the Materiality Policy, in each case involving the Company, Promoters and Directors ("**Relevant Parties**").

Further, except as stated in "*Outstanding Litigation and Material Developments*" section of the DRHP, (a) there are no disciplinary actions including penalties imposed by the SEBI or Stock Exchanges against the Promoters in the last five Financial Years immediately preceding the date of this DRHP, including any outstanding action; and (b) there are no outstanding criminal proceedings (including FIRs, whether cognizance has been taken or not by any court or judicial authority) and outstanding actions by regulatory and statutory authorities (including all disciplinary actions, penalties and, show cause notices) against the KMPs and Senior Management. The Company does not have any group company as on the date of the DRHP.

Based on the Materiality Policy and in accordance with the SEBI ICDR, Regulations, the DRHP includes details of civil litigations/arbitrations involving the Relevant Parties: (a) 5% of the average of the absolute value of the restated profit or loss after tax of the Company based on the Restated Financial Information of the preceding three financial years, i.e. ₹ 10.25 million has been considered as the materiality threshold ("**Materiality Threshold**"); (b) the decision in one litigation is likely to affect the decision in similar litigations, even though the amount involved in an individual litigation may not exceed the Materiality Threshold; and (c) all outstanding litigations which may not meet Materiality Threshold or where the monetary liability is not determinable or quantifiable but nonetheless, directly or indirectly, or together with similar other proceedings, have a material adverse effect on the business, operations, performance or financial condition, reputation, results of operations or cash flows of the Company

Pre-litigation notices received by Relevant Parties, Key Managerial Personnel or Senior Management Personnel (excluding notices issued by statutory, regulatory or tax authorities or first information reports), have not been considered as litigation until such time that the Relevant Parties, Key Managerial Personnel or Senior Management Personnel are not impleaded as a defendant in the litigation proceedings before any judicial/ quasi-judicial or arbitral forum, or is notified by any governmental, statutory or regulatory authority of any such proceeding that may be commenced.

The Company has provided supporting documents for cases involving the Company, in the online virtual access data room. For litigation involving the Promoters, Directors (as applicable), KMPs and the SMPs, the Company has provided certification received from the relevant Promoters, Directors, KMPs and SMPs.

Except as stated in the "*Outstanding Litigation and Material Developments*" section of the DRHP, there are no outstanding material dues to creditors of the Company. The Board has considered and adopted a policy of materiality for identification of material outstanding dues to creditors, by way of its resolution dated November 3, 2025. In terms of the Materiality Policy, outstanding dues to any creditor of the Company having a monetary value which exceeds 5% of the total trade payables of the Company as per the Restated Financial Information of the Company as of June 30, 2025, disclosed in the DRHP, shall be considered as '*material*'. Accordingly, as on June 30, 2025, any outstanding dues exceeding ₹ 61.69 million have been considered as material outstanding dues for the purposes of disclosure.

For outstanding dues to any micro, small or medium enterprise, the disclosure is based on information available with the Company regarding the status of the creditor as defined under the Micro, Small and Medium Enterprises Development Act, 2006 as amended, read with the rules and notification thereunder.

6. Statutory and/or regulatory related and other diligence

In connection with diligence of statutory and regulatory matters, relevant statutory and regulatory records of the Company were reviewed, with the assistance of the Legal Counsel, including, among other things, relevant corporate records and filings made by the Company with various statutory and regulatory authorities and the material licenses, approvals and registrations applied for and/ or received by the Company to undertake its business activities and operations. Representations and certifications provided by the Company in connection with such statutory and/ or regulatory matters were relied on.

In relation to the build-up of the existing share capital of the Company, we have reviewed the statutory forms filed with the RoC, resolutions passed by the Board and Shareholders of the Company and the statutory registers prepared and maintained by the Company. The Company is unable to trace certain corporate records such as RBI acknowledgement for Form FC-TRS filed with the authroised dealer in relation to the transfer of certain Equity Shares and waiver or renunciation letters from certain shareholders. We have included details with respect to such corporate actions in the "*Capital Structure*" section of the DRHP based on alternate corporate records available with the Company such as statutory registers, agreements entered for allotment and transfers of securities, and minutes of board meetings. For further details, please see "*Risk Factors – Certain of our corporate records are not traceable. We cannot assure you that any regulatory proceedings or actions will not be initiated against us in the future and we will not be subject to any penalty imposed by the competent regulatory authority in this regard.*" on page 61 of the DRHP. Also, appropriate notes have been included in the section titled "*Capital Structure*" page 105 of the DRHP, along with appropriate cross-references to the above-mentioned risk factor. We have relied on the certifications provided by the Company and a certificate and RoC search report dated November 10, 2025, provided by M/s Nilesh Shah & Associates, practicing company secretary ("**PCS**"), confirming details of such documents which the Company has been unable to trace.

We, along with the Legal Counsel, have relied on the list of material licenses, approvals and registrations of Company, and such licenses, approvals and registrations, copies of which were provided by the Company, were reviewed. We, along with the Legal Counsel, have also regularly interacted with the officials of the Company to understand the material approvals that are required to be obtained by the Company to carry out its business, followed by a due diligence exercise of such material approvals.

We have also reviewed other material agreements executed by, or in relation to, the Company and its Subsidiaries, as applicable, such other documents as we have deemed necessary and as have been provided to us by the Company, from time to time.

7. Key Performance Indicators

SEBI has, vide its circular dated February 28, 2025 on the Industry Standards on Key Performance Indicators Disclosures in the Draft Offer Document and Offer Document ("**SEBI Circular on KPIs**"), introduced certain industry standards for the disclosure of key performance indicators to be followed by issuers and merchant bankers. In compliance with the same, suitable disclosures have been made in relation to key performance indicators of the Company in the section titled "*Basis for Offer Price*" on page 140 of the DRHP, and other relevant sections in the DRHP. Further, such KPIs were certified by the Company pursuant to their certificate dated November 10, 2025 and approved by the Audit Committee of the Board of Directors pursuant to its

resolution dated November 10, 2025 and such KPIs as disclosed in the DRHP have been certified by the Statutory Auditor. The certificate issued by the Statutory Auditor in relation to the KPIs will form part of the section "*Material Contracts and Documents for Inspection*" on page 476 of the DRHP and will be available for public inspection from the date of filing of the RHP until the Bid/ Offer Closing Date and on the website of the Company.

8. Objects of the Offer

The objects of the Offer are to (i) carry out the Offer for Sale of up to 8,043,300 Equity Shares of face value of ₹ 10 each by the Selling Shareholders aggregating up to ₹ [●] million; and (ii) achieve the benefits of listing the Equity Shares on the Stock Exchanges.

9. Price information of past issues handled by the BRLMs

In respect of price information of past issues handled by the BRLMs, reliance has been placed on the information available on the websites of National Stock Exchange of India Limited and/or BSE Limited for preparing the statement of price information of the past issues handled by the BRLMs.

ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

This signature page forms an integral part of the letter to Securities and Exchange Board of India, in relation to the initial public offering of Sedemac Mechatronics Limited.

For ICICI Securities Limited

Authorized Signatory
Name: Sumit Singh
Designation: VP
Contact Number: +91 8789419402
Email: sumitkumar.singh@icicisecurities.com

ICICI Securities	Avendus	AXIS CAPITAL
ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

This signature page forms an integral part of the letter to Securities and Exchange Board of India, in relation to the initial public offering of Sedemac Mechatronics Limited.

For Avendus Capital Private Limited

Authorized Signatory

Name: Sarthak Sawa
Designation: Vice President
Contact number: +91 99303 33486
Email: sarthak.sawa@avendus.com

ICICI Securities	Avendus	AXIS CAPITAL
ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

This signature page forms an integral part of the letter to Securities and Exchange Board of India, in relation to the initial public offering of Sedemac Mechatronics Limited.

For Axis Capital Limited

Authorized Signatory
Name: Pratik Pednekar
Designation: AVP
Contact Number: + 91 98192 63346
Email: pratik.pednekar@axiscap.in

ICICI Securities Limited ICICI Venture House, Appasaheb Marathe Marg Prabhadevi Mumbai 400 025, Maharashtra, India **Tel :** +91 22 6807 7100 **E-mail :** sml.ipo@icicisecurities.com **Website :** www.icicisecurities.com **SEBI Registration No :** INM000011179 **CIN :** U67120MH1995PLC086241	**Avendus Capital Private Limited** Platina Building, 9th Floor 9001 Plot No C-59 Bandra-Kurla Complex Bandra (East), Mumbai 400 051 Maharashtra, India **Tel :** +91 22 6648 0050 **E-mail:** sedemac.ipo@avendus.com **Website:** www.avendus.com **SEBI Registration No.:** INM000011021 **CIN:** U99999MH1999PTC123358	**Axis Capital Limited** 1ST Floor, Axis House Pandurang Budhkar Marg, Worli Mumbai 400 025 Maharashtra, India **Tel:** +91 22 43252183 **E-mail:** sedemac.ipo@axiscap.in **Website:** www.axiscapital.co.in **SEBI Registration No.:** INM000012029 **CIN:** U64990MH2005PLC157853

ANNEXURE III B

Checklist confirming regulation-wise compliance with the applicable provisions of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended.

[***Annexed separately***]